

Brookline High School

The emergence of soft corporate power:

Case analysis of the First National City Bank of New York and the East India Company

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Corporate imperialism is a powerful tool used by sovereign states to enact their will abroad. Two examples are found in the First National City Bank of New York, an American financial conglomerate, and the East India Company, a composite organization from Britain that dealt in international trade. While both the United States and European powers have used corporate imperialism to assert authority and build extractive relationships with foreign nations, via the First National City Bank of New York and the East India Company respectively, the United States applied soft power while European states more often had their corporations rely on colonial rule.

Corporate imperialism allows dominating states to accumulate fiscal benefits and geopolitical control in developing areas without risking financial failure or bearing the costs associated with oversight. Corporations allow governments to reap substantial rewards and exert their influence through charters while shifting risk onto corporate backers. By selectively distributing and expanding charters, governments can choose whom to associate with, maximizing their potential for success. If colonial in nature, corporate expeditions allow governments to benefit through the sharing of tax revenue; the East India Company collected an array of taxes on behalf of the British crown, including “Land Revenue”, “Salt Tax”, “Opium Revenue” and “Stamp Duties”, among others (Hendriks 4). If not colonial in nature, corporate entities can use state-backed corporate Darwinism to ensure their monopolistic control and hence accrue benefits from trade; the United Fruit Company used its close ties with the US government to consolidate control over “as much as 90 percent of the [global banana] market” (Kurtz-Phelan). In the modern context, corporate imperialism allows governments to exert their will abroad while ignoring the strictures of domestic regulations and social responsibility.

Corporate imperialism has also become a mechanism for controlling other states through soft power as military conquest has become increasingly difficult to justify. Further, to global powers such as the modern United States, domestic corporations are often seen as an extension of state power, as the success of these companies benefits the home economy through profit extraction. Therefore the success of domestic companies abroad often results in the transfer of wealth from a foreign economy to the domestic one, resulting in a sort of economic imperialism. In 1982 transnational corporations “had 30 percent of their labor force in foreign affiliates... by 2014, the share had increased to 60 percent” (Barbe 2). For these reasons it is only natural that European powers and the United States have been inclined to use corporate imperialism to further their aims, exerting authority and extracting wealth from abroad.

Two specific corporate bodies that asserted authority on the behalf of Britain and the United States were the East India Company and the First National City Bank of New York, respectively. **While the East India Company used military strength and gunboat diplomacy to assert authority, the First National City Bank of New York affirmed its power by preying on instability and establishing a financial monopoly, often through debt issuance.** At its “maximum [military] strength” in 1844, the East India Company’s armies composed a force of 235,446 native soldiers and 14,584 European soldiers, assisted by sepoy recruits (Sykes 113-116). The company used these forces to annex Indian states in gradations until the majority of Indian land was occupied by the East India Company. Without control of their territory, Indian occupied states lacked authority, rendering them colonies of the sovereign East India Company. Military action was not always necessary; oftentimes the company was able simply to threaten states into submission by showing their technological and military superiority backed by Britain.

Upon seeing the aggression that the East India Company had inflicted upon neighboring regions, Shah Jahan chose to welcome British traders with open arms, and later waived customs duties. Comparably, the National City Bank of New York had no military or physical strength whatsoever. Rather the Bank followed many practices common in modern corporate imperialism. In 1966, the National City Bank collaborated with Chase Bank to extend millions of dollars in loans to a struggling South Africa, indirectly funding the apartheid system (American Committee on Africa 2). In exchange, the two banks extended American corporate influence into South African politics, created a strong foothold among consumers, and received respectable interest payments on their loans. These rates bound South Africa to mounting debt that it could not pay off. Thus, the stability of South Africa was dependent on the loans of the National City Bank and Chase, ensuring American power and financial monopoly in the region.

Furthermore, the United States would often assist the National City Bank in establishing authority by applying political pressure. In 1911 the National City Bank purchased a stake in the *Banque Nationale de la République d'Haïti* (BNH). In 1915 the United States intervened in Haiti due to its rising political instability, leading to a decades-long occupation of Haiti by United States forces (“The National City Bank of New York and Haiti, 1909-1922” 105). Following the United States’ occupation of Haiti, the National City Bank began to consolidate its power over BNH and accrue a larger stake from competing American banks and European interest. It was later revealed that the proposal for United States military intervention in Haiti was suggested to William Jennings Bryan, the secretary of state during the Wilson administration, by National City Bank vice president Roger Leslie Farnham, who acted as the State Department representative in matters of Haiti (“The National City Bank of New York and Haiti, 1909-1922”

92, as said by James Weldon Johnson). By then, heavily influenced by the National City Bank, BNH sought to “reform the currency system of Haiti by demonetizing the various metallic fractional currencies in circulation and issuing a paper gourde” (“The National City Bank of New York and Haiti, 1909-1922” 105). The signatures of National City Bank executives were printed on the Gourde, the Haitian currency, symbolizing the solidification of National City Bank’s power over the Haitian financial system. On August 17, 1922, the BNH began operations under a new charter while management had its headquarters moved to New York, completing the BNH’s absorption by National City Bank. (“The National City Bank of New York and Haiti, 1909-1922” 93, 106) Thus, the National City Bank had completed its monopolization over the Haitian financial system. As stated by James Weldon Johnson, field secretary of the National Association for the Advancement of Colored People, the National City Bank inflicted upon Haiti a force “more powerful though less obvious, and more sinister,” than the United States government (“Bankers and Empire”, 112). While the National City Bank used soft power methods of corporate imperialism to establish the financial dependence of developing countries and thereby assert authority, the East India Company’s commensurate corporate imperialism was best embodied in their many conflicts with the French East and Dutch India Companies over territory they could potentially colonize.

A demonstration of corporate authority allowed companies to enact their countries’ will with little resistance, facilitating extractive relationships. **While the East India Company constructed a trade system beneficial to Britain in conquered areas, the National City Bank of New York built extractive relationships through monopoly practices and American pressure.** During the years 1797-1811 and under the control of the East India Company, Bengal

exported to Great Britain 411,473 lbs of silk per annum. After the expansion of free commerce Bengal exported 1,110,992 lbs of silk per annum, an approximate 170.00% increase in silk imports (Ridgeway 8). Yet the profit margins of the East India Company in the fourteen years ending 1811 were marked at 19%, much higher than expected of the industry (Ridgeway 9). This suggests a repressive relationship focused more on the profit of the East India Company than on the development of Indian trade. Similarly, the First National City Bank of New York, when engaging in corporate imperialism, is inherently extractive. Mercantilist transactions are by definition a zero-sum game; by playing on the desperation of unstable economies, National City Bank constructed a transactional relationship most beneficial to itself. Following the National City Bank's corporate annexation of BNH, with American pressure looming, National City imposed upon Haiti a loan of US\$30 million (approximately US\$800 million today accounting for inflation), separate from Haiti's debts that totaled US\$40 million, which National City profited from greatly ("Bankers and Empire" 112, 115). As asserted by James Weldon Johnson, the National City Bank was "constantly working to bring about a condition more suitable and profitable for itself" ("Bankers and Empire" 112). Both the East India Company and the First National City Bank of New York established a repressive relationship degrading to the local economy, though the East India Company did so through state-backed trade monopoly while the National City Bank did so through state-backed financial monopoly.

As demonstrated by the First National City Bank of New York and the East India Company, the United States and European powers both utilized corporate imperialism to assert authority and build extractive relationships. The United States through National City Bank applied soft power upon Haiti and South Africa, while the European state of Britain had the East India Company use

direct rule over India. In the modern context, colonial forms of corporate imperialism have faded as the colonial occupation of subject countries becomes more difficult, while soft power methods of corporate imperialism dominate the global age.

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